Revision Date:
04/01/2022

Background:
Households (HH) are required to report when their income exceeds the Income Reporting Threshold (IRT). The IRT is the amount likely to make a HH ineligible for CalFresh. This is considered a mandatory mid-period report.

Purpose:
This section details IRT reporting requirements. IRT information is being removed from 63-283 and moved to 63-125. No changes have been made due to state legislation.

Policy:
The IRT is an income threshold that informs the HH when they are required to make a mid-period report of an increase in income. HHs that have an IRT are required to report when their income exceeds the IRT limit. Income that exceeds the IRT must be reported within 10 calendar days from the date the change becomes known to the HH. This applies to all HH members, including ineligible members. Action must be taken mid-period, regardless of the impact on benefits. HHs with no IRT are not required to report income changes. When HHs with no IRT report an income change, it is considered a voluntary report.

Note: One time increases in income over IRT that are not expected to continue are not required to be reported. Examples are unexpected overtime, or an extra paycheck received in the month.

A HH will have an IRT when their income is at or below the 130% of the Federal Poverty Level (FPL) for the HH size. The table below provides additional guidance for when a HH will have an IRT:

If the Non-Assistance CalFresh HH is…	**Then …**
Certified Modified Categorical Eligibility (MCE) or Non-MCE with income at or below 130% FPL,	the IRT is 130% of the FPL for the HH size.
Certified MCE with income between 131% and 200% FPL,	the HH will have no IRT.

The HH IRT is determined at the time of initial application, SAR 7, recertification, or whenever there is a change in HH composition. The IRT for the HH will be the 130% FPL for the HH size.

When a HH reports income that may be over IRT, determine if the income is expected to continue.

- If the HH reports and provides verification that the income is over IRT and the income is expected to continue, reevaluate the budget and reduce or discontinue benefits with timely and adequate notice.
- If the HH reports that the income is over IRT and expected to continue, but the verification is not provided, send the HH the CW 2200 requesting verification of the income and allow 10 days to provide. If the income verification is provided reevaluate the budget and decrease or discontinue benefits with timely and adequate notice. If income verification is not provided, discontinue the case for failure to provide verification with timely and adequate notice.

Below are examples of reported changes for HHs that have an IRT and must report if their income exceeds 130% FPL.

Examples:	
Scenario	A HH reports an increase in income and is not sure if the income is over IRT. It is confirmed with the customer that the income is not over IRT.
Outcome	Take no action, send the “No Change Notice of Action (NOA) CF 377.4 SAR”. Document information in case record for follow up at next SAR 7 or recertification, whichever comes first.
Scenario	A HH reports an increase in income and is not sure if the income is over IRT. It is confirmed with the customer that the income is over IRT but is not expected to continue.
Outcome	Take no action, send the “No Change Notice of Action (NOA) CF 377.4 SAR”. Document information in case record for follow up at next SAR 7 or recertification, whichever comes first.
Scenario	A HH reports an increase in income and is not sure if the income is over IRT. It is confirmed with the customer that the income is over IRT and is expected to continue.
Outcome	Send the HH a CW 2200 requesting verification of the income. If income verification is provided, decrease benefits at the end of the month in which timely and adequate notice can be provided. If income verification is not provided, discontinue the case for failure to provide verification at the end of the month in which timely and adequate notice can be provided.
Scenario	A HH reports increased income that is not over IRT.
Outcome	If the change will result in a decrease in benefits, do not request verification. Send the “No Change NOA”. Document information in case record for follow up at next SAR 7 or recertification, whichever comes first. If the change will result in an increase in benefits, send the HH a CW 2200 requesting verification of the income. If income verification is provided, act on the change to increase the benefits. If income verification is not provided, send the “No Change Notice of Action (NOA) CF 377.4 SAR”. Document information in case record for follow up at next SAR 7 or recertification, whichever comes first.

Below is an example of a reported change for HH’s that do not have an IRT and are not required to report income changes.

Example:	
Scenario	A HH reports their income has increased over the 200% FPL. This is a voluntary report, these HH do not have an IRT and are not required to report.
Outcome	If the change will result in a decrease in income, do not request verification. Send the “No Change NOA”. Document information in case record for follow up at next SAR 7 or recertification, whichever comes first. If the change will result in an increase in benefits, send the HH a CW 2200 requesting

	verification of the income. If income verification is provided, act on the change to increase the benefits. If income verification is not provided, send the "No Change Notice of Action (NOA) CF 377.4 SAR". Document information in case record for follow up at next SAR 7 or recertification, whichever comes first.

Below are examples of a reported change for a HH with an excluded member:

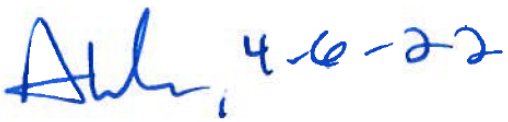
Example: Income increase with excluded HH member	
Scenario	A HH of three including one ineligible noncitizen. The HH's IRT for three is $2,379 (effective 10/01/2021). The HH reports that the noncitizen member found work, which is expected to continue. The new monthly income is $3,000.
Outcome	Prorate the noncitizen's income to determine if the income is over the IRT: $3,000 / 3 = $1,000 $1,000 x 2 = $2,000 The HH income of $2,000 is not over the IRT. If the change will result in a decrease in income, do not request verification. Send the "No Change NOA". Document information in case record for follow up at next SAR 7 or recertification, whichever comes first. If the change will result in an increase in benefits, send the HH a CW 2200 requesting verification of the income. If income verification is provided, act on the change to increase the benefits. If income verification is not provided, send the "No Change Notice of Action (NOA) CF 377.4 SAR". Document information in case record for follow up at next SAR 7 or recertification, whichever comes first.

Example: Income increase with excluded HH member	
Scenario	A HH of three including one ineligible noncitizen. The HH's IRT for three is $2,379 (effective 10/01/2021). The HH reports that their income is now $4,000. The ineligible noncitizen is earning $3,000/month. The other HH member earns $1,000 a month.
Outcome	Prorate the noncitizen's income and add it to the eligible HH member's income: $3,000 / 3 = $1,000 $1,000 x 2 = $2,000 $2,000 + $1,000 = $3,000 total income The HH is over the IRT. Reevaluate the HH's budget and decrease/discontinue the case with timely notice.

References:
CFR 272.1, 272.2, 272.17, 273.8, 273.9, 273.10, 273.11, 273.12, 273.13 and 273.18, ACIN I-58-13E
ACL 21-101, 12-25, 12-25E, 12-59, 13-08, 13-17, 13-26, 13-80, 15-42, 20-132, ACIN I-58-13

Sunset Date:
This policy will be reviewed for continuance by 04/30/2025.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services